

SCREENS

The screen that keeps catching liars

Before I value a company I run a screen designed to answer a blunter question: are these numbers real? Here's the tool, what it catches, what it misses, and why I run it first.

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Valuing a lie precisely

A discounted cash flow model is a machine for turning assumptions into a number. Feed it fabricated cash flows and it will value the fabrication to two decimal places, confidently. This is the failure mode that costs investors the most: not being wrong about a real business, but being precisely right about a fake one. So before I run a valuation I run a different screen, one that asks whether the inputs can be trusted at all.

What the M-Score does

The Beneish M-Score is a formula built from eight ratios that, together, flag the accounting fingerprints of earnings manipulation — receivables growing faster than sales, margins deteriorating while accruals rise, and the other tell-tales of a company borrowing from tomorrow's numbers to flatter today's. It was derived by studying firms that were later caught, and it catches a meaningful share of them before they're caught. It is not a fraud detector; it is a liar-probability estimate.

What it actually catches

The signal it's best at is the gap between reported profit and cash. A business can report rising earnings for years while its cash conversion quietly deteriorates — profits on paper, nothing in the bank. That divergence is the single most reliable warning in accounting, and the M-Score is one disciplined way to systematise noticing it. When I ran it across a few hundred Indian mid-caps, the names it flagged were not the ones in the headlines; they were quieter companies whose receivables and accruals were telling a different story than their P&L.

Satyam is why I bother

This isn't academic. Satyam reported cash that did not exist, for years, audited and signed. Anyone running a DCF on Satyam's reported numbers would have produced a beautiful, precise, entirely worthless valuation. A cash-versus-earnings screen would not have proven fraud — nothing short of the confession did — but it would have told you the numbers deserved suspicion before you staked capital on them. That is the whole value of running it first: it changes what you're willing to believe.

What it misses, and where it lies

A screen this blunt has real limits, and pretending otherwise would be its own kind of dishonesty. It throws false positives — fast-growing honest companies can trip the same wires as manipulators, because rapid growth and manipulation both strain working capital. It misses frauds that don't show up in these particular ratios. It was calibrated on a different market and era, and Indian accounting has its own idioms. And a determined fraud that fabricates the whole set of statements consistently can sail through, because the screen tests internal consistency, not truth. It is a smoke detector, not a fire marshal.

How I actually use it

I don't use the M-Score to make decisions; I use it to allocate suspicion. A flag doesn't mean 'avoid' — it means 'the burden of proof just went up, go read the notes, the related-party disclosures, the cash flow statement line by line.' It tells me where to spend my scepticism, which is a scarce resource. Run it first, before you fall in love with the story, because once you've built the bull case you'll explain away exactly the evidence the screen was built to make you see.

This is my personal opinion, published for discussion and learning. It is a description of an analytical technique, not investment advice, not an allegation against any specific company, and not a recommendation to buy or sell any security. The Beneish M-Score produces probabilistic flags, not findings of fraud. Do your own work.